

Metadata (fill in)

Alpha name | Author | Date | Universe | Neutralization | Decay | Truncation

1. Define objective & edge

2. Formulate hypothesis

3. Mathematical expression

4. Transform & refine

5. Robustness & final alpha

1. Objective & Edge

Short-term price dislocations occur due to liquidity shocks and investor overreaction. These effects are temporary and tend to revert once information is absorbed.

2. Hypothesis

Stocks with extreme negative short-term returns will outperform in the near future, while stocks with extreme positive short-term returns will underperform.
Expected holding horizon: 2–10 trading days.

3. Mathematical Expression

Raw variable: daily returns
Compute recent cumulative return over a short window (e.g. 5 days).

4. Transform & Refine

Apply cross-sectional z-score to identify extremes.
Rank within industry to reduce sector bias.
Low z-score = Long, High z-score = Short.

5. Final Alpha Formula

Pseudo-code:
`group_rank( -zscore(ts_sum(returns, 5)), industry )`

Rationale: The signal bets on short-term mean reversion while controlling for industry effects.